as most other people might do. Instead, he invests in the stock market. Since he has an Internet connection in his office, he is online in just seconds.

The situation shown in **Figure 49.4** intrigued him. Price had been moving horizontally since April 1992 (a portion of that isn't shown, so use your imagination), forming an extended base on which an upward breakout of significant proportions would evolve, he hoped.

Over the shorter term, price began trending down in mid-January 1994. It reached a low the week of 4 April, accompanied by above-average volume. Had this downward price spike been alone, it might have signaled a one-day reversal (one-week reversal really, since we are on the weekly scale). However, another downward spike appeared the following week. Price did not drop to the low of the prior week (38.38) but came close at 38.63.

The dual spikes were long enough to set them apart from the surrounding price action, certainly longer than the brief, 1-week dip in mid-March. The following week price moved up smartly, leaving a clear pipe bottom visible on the chart. When price confirmed the pipe, Peter bought the stock and received a fill at 42.

“I set a stop at 37.88, or 12 cents below a whole number, and you know why, right?”

He placed the stop there because whole numbers sometimes act as support (or resistance). Placing the stop just below 38 would give the stock every opportunity to turn around and move higher.